GALAXY DIGITAL INC GLXY

May 20, 2026 - 11:46am EST
by TooCheapToIgnore

			2026	2027
Price:	27.55	EPS	0	0
Shares Out. (in M):	407	P/E	0	0
Market Cap (in $M):	11,200	P/FCF	0	0
Net Debt (in $M):	200	EBIT	0	0
TEV (in $M):	11,400	TEV/EBIT	0	0

Description

Minor notes:
- We prepared this analysis just over a week ago, so numbers bounced around slightly; if you spot minor inconsistencies, it's just the time lag between the work and posting it to VIC; should not be material
- We show 407MM shares outstanding -- this figure reflects the conversion of the in-the-money 2029 convertible bond into shares
- Our net debt incorporates cash as well as some balance sheet crypto; it also reflects less debt due to the aforementioned 2029 conversion
- Legal: See disclaimers at the bottom; in general, we have a position, we don't have a duty to update for our trading, we're biased, and we can make mistakes; point is, do your own work

Long Galaxy Digital ("GLXY") with a fair value between $45-75 per share

Thesis

The idea here is that when you hear "Galaxy," you think of a) crypto, b) Novogratz, and c) red laser beam eyes. Our theory is that crypto is divisive, with the world generally split into two camps (believers and skeptics). Whenever we mention Galaxy to smart funds, we notice the same reaction: "Oh, that crypto thing?" followed by, "Yeah, we hate crypto."

This is Value 101: an emotional, biased reaction stopping rational analysis before it can even begin. If you can get past this part of Galaxy, we think it is worth spending time on the Helios Data Center project. The math is compelling and we recently visited Helios in person (two weeks ago) to confirm that it was as unique and valuable as the calls/data suggested. We came away believing it was even better than we thought. Stepping back, the Galaxy pitch is something like this:

1- there is an incredible data center project, Helios, that is "hidden in plain sight" due to crypto hate
2- if you value the Digital Assets business conservatively, spot the balance sheet, and take a fair approach to Helios, you get 50-150% upside
3- the value driver is Helios: in our opinion, it is a 1-of-1 asset with land, water, grid infrastructure, 1.63 GWs of front-of-meter ERCOT-approved power, 1.8 GWs of additional project expansion plans, future sites in the works, and an 800MW 15-year contract in hand with CRWV (end customer a "multi-trillion hyperscaler) that is starting to ramp this quarter
4- there is an index add announcement (Russell 2K) coming THIS WEEK that could be 7+ million shares of buying for Galaxy
5- though we aren't diehard adherents, we see the value of a market maker-type business in an ecosystem that rests on volatile underlying securities, so to us, it's kinda fun to have the right-tail upside optionality (even though our focus is Helios)

Catalysts: customer announcement on 830MW by year-end; Russell index add; more DC sites (probably in Texas); more Helios plans moving through ERCOT batch process; ramping financials from delivering to CRWV; possibility of crypto upside with Clarity Act progress

Also, it's worth noting that we think the team here is excellent. Novo is a killer (in a good way!), who knows how to create value and also how markets work. We have met many of the key business leaders at the company and sense legitimacy, intelligence, and energy. Who knows, we could be suckers (has happened to us before!), but we think the human beings involved are a net positive.

What is Galaxy?

Digital Assets: A one-stop-shop for the crypto ecosystem, with $8 BN in AUM/AUS, recurring fee revenues from trading, lending, staking, brokerage, and advisory. You've also got $700MM B/S crypto, $650MM in investments, and major torque to good times -- to wit, $629MM in 3Q'25 EBITDA.

Data Centers: Major site called Helios located in west Texas, with land (1500 contiguous acres and options to grow meaningfully), water (underground aquifer), grid interconnect location, infrastructure already built-out (owned substation, transformers, back-up generators, chillers, etc.), general contractors fully in gear (1300 workers on site the day we visited), 800MW (gross) contracted, 830MW recently approved but awaiting customer announcement, and another 1.8 GWs of plans (total planned size: 3.4 GWs). Note that the 800MW of contracted power translates to about $1B/yr for 15 years to Galaxy with greater than 90% flow-through.

Founded 2018. Was listed in Canada, moved to Nasdaq in May 2025 following Genius Act. Mike Novogratz in charge. Trades plenty ($166MM/day). Balance sheet healthy.

Data Center

- Crown Jewel: **Helios**, 1,000+ acres, Dickens County, Texas
- 1.6 GW ERCOT-approved grid power (half contracted with CRWV)
- 800MW: 15-year lease, $1bn+ avg. annual revenue at 90% margin
- Potential to reach 3.4 GW with further approvals

Digital Assets

- One-Stop-Shop for Crypto Ecosystem: $8B AUM/AUS
- Recurring fee revs: trading, lending, staking, brokerage, advisory
- Treasury & Corporate: $700mm B/S crypto, $650mm investments
- Highly profitable in good times ($629mm 3Q25 EBITDA)

Investment Thesis: Focus on Helios

- Contracted 800MW + Crypto: Covers current price ($29)
- + 830MW: Approved by ERCOT, customer by year-end (+$13)
- + 1.8GW: Queued for ERCOT batch approval, update 6/1 (+$26)
- + Additional Sites: Platform value (+$10)
- Index Add: Russell eligible, announcement date 5/22

GLXY Key Numbers

GLXY Enterprise Value ($USD mm)	
Last Price ($)	$29.30
(x) Shares Outstanding	407
Market Cap	**11,930**
(-) Cash and Stablecoins	(2,605)
(+) Debt (ex-lease)	2,783
TEV	**12,108**
Trading Stats	
ADV ($mm)	166
Short Interest	13.9%
Corporate Info	
HQ	New York
Employees	700
Founded	2018
IPO	2018
US listing (NASDAQ)	2025

	Base (1.63GW)	Bull (3.43GW)
SOTP value ($bn)	17.9	30.6
Price Target	$44.01	$75.12
Current Price	$29.30	$29.30
Upside	**50%**	**156%**

Why Does the Opportunity Exist?

1. Crypto: as noted, we think this causes investors to misunderstand or overlook the business.
We think that eventually, when the data center business ramps, you could see a split into two (maybe 2028?)

2. Technical: missed the Russell determination date (4/30) by a couple weeks in 2025, but should be good-to-go for an add this summer.
News should hit May 22; we asked a few desks and the estimates are 7-8mm shares of buying demand

3. Cash Flows: because Helios is ramping, it has been invisible, nothing but negative cash flows.
However, the first data hall was just delivered, so Q2 should show the first revenues from this segment (ever). From here, it will ramp.

4. Duration: Patience required for a multi-gig data center build.
We finally are approaching a healthy runway of catalysts, with phase I delivery to CRWV underway, an index add, more ERCOT approval progress, more DC sites, and a hyperscaler deal by year-end for 830 gross MWs.

Helios

We identified 4 main differentiators that we believe make this project special:

1) Land and Water: We think a large swath of contiguous land, with available water, is valuable. Go look at the optical networking boom to see how expensive it is to connect physically separated data centers over long distances. Having one giant campus lowers the overall system cost for end customers and isn't commonly available. Water below the surface is usable with a modest on-site cleaning facility; that water is chilled to something like 61-degrees and then goes into a massive air conditioning system (very cool to see it all in person).

2) Labor and Execution: When we visited, there were 1300 workers on site, with the GC (ClayCo) running the show alongside Galaxy workers. We also saw CRWV folks on site, as they had taken delivery of one data hall already. It was a beehive of activity, with full parking lots, security checks, big equipment moving around, cranes, etc. From our conversations, we think labor will be a choke point for many other projects (especially electricians). Galaxy, by moving early, has this covered. Note that the first data hall was delivered on time and on budget a month or so ago -- this compares to a parade of announced delays and cancellations by would-be competitors.

3) Power: 1.6 GWs already approved, half of which is contracted on a 15-year deal that will pay GLXY $1B/yr. This is ERCOT-approved, front-of-meter power. These approvals do not grow on trees: it takes years, studies, and knowing how to play the game with regulators and politicians. After the recent 830MW approval, the ladder was lifted behind Galaxy: thanks to a bunch of nonsense "me too!" data center proposals, the ERCOT queue is insanely long and they switched to a new and work-in-process "batch" approval system. It is extraordinarily meaninful, in our humble opinion, that Galaxy got that final 830MW

across the line. A customer should scoop it up by year-end, we'd guess.

4) Location: Load Zone West in Texas is a special area. A little work on this subject can go a long way. First, go back to a 2005 program called CREZ (Competitive Renewable Energy Zones), which aimed to connect renewable generation in Texas (wind, solar) to the rest of the grid. The project cost $7BN and resulted in thousands of miles of transmissions lines. This infrastructure build-out further catalyzed renewable generation investment. This part of Texas now has north of 70 GWs of renewable power. The Helios site is located smack-dab in the middle of wind turbes (we saw them as we drove in) and is immediately adjacent to an enormous 345-kv line. HERE IS THE IMPORTANT BIT: when the sun shines and the wind blows, this region has more power than it can send down the line. At those times, someone in the region who can take power is PAID to take the power. Suffice it to say, this is not true in most places across the country. (This explains the large battery storage operation located next door to Helios, which we think is owned by French company Engie).

Competitive Dynamics

We looked at comps like CORZ, APLD, CIFR, HUT, and WULF. We think Helios compares favorably on key attributes. On a TEV/approved MW basis, we are way too cheap, with 75-100% upside to the peers.

Competitive Positioning

Galaxy has a "right to win". Helios compares favorably to peer assets

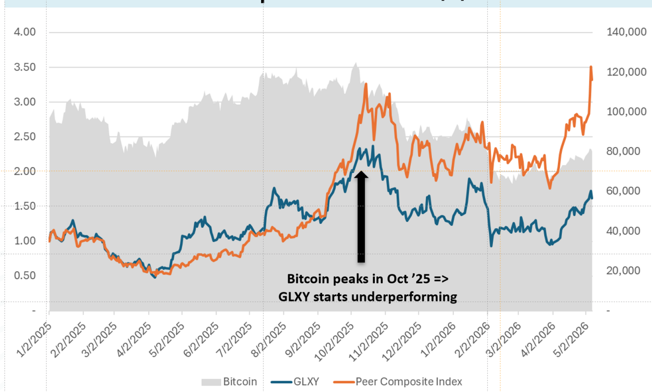
Ticker	GLXY	CORZ	APLD	CIFR	HUT	WULF	Average
Contracted MWs	800	900	1,062	600	830	653	809
Approved MWs	1,630	1,686	1,180	807	1020	990	1,137
Single Site Benefit	✅	❌	❌	❌	❌	❌	--
Low-cost Power?	✅	❌	❌	✅	❌	❌	--
3rd party GC?	✅	✅	❌	❌	✅	❌	--
Delay Free?	✅	❌	❌	✅	✅	❌	--
Multi-tenant?	✅	❌	✅	✅	✅	✅	--
EV/MW create[1]	***5.0***	***5.5***	***11.6***	***11.6***	***10.8***	***13.3***	***10.6***
Implied GLXY Px	***--***	***$31***	***$56***	***$56***	***$52***	***$63***	***$52***
Current GLXY Px	***--***	***$29***	***$29***	***$29***	***$29***	***$29***	***$29***
Upside	***--***	***6%***	***90%***	***90%***	***79%***	***114%***	***76%***

Note that Galaxy traded with the peer groups for a while, until the late 2025 BTC roll-over, at which point a gap opened up. That is the opportunity here, we think.

Historical Performance vs. Comps

We expect GLXY to catch up and overtake peers

GLXY vs. DC peers – indexed to 1/1/2025



Commentary

- GLXY performed in-line with peers until late 2025
- Bitcoin peaked in October '25
- Subsequent underperformance due to perception GLXY = crypto proxy
- Our view: this is wrong. GLXY to rerate higher to peers

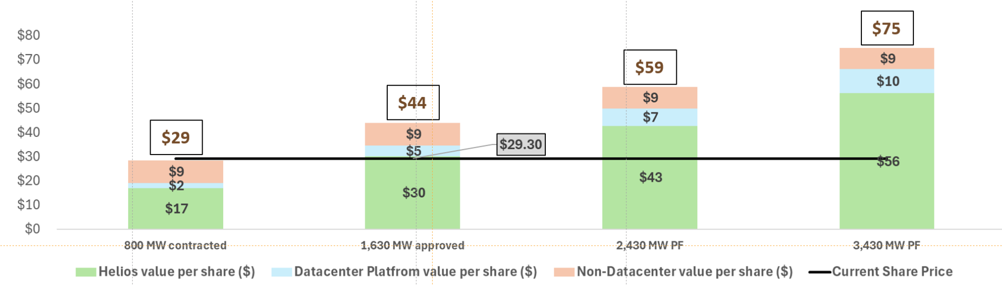
Valuation

The way we did it is, we spot the B/S, put a conservative value on Digital Assets, and then value the data center business in phases. DCF'ing the 800MW CRWV deal (contracted) helps us cover today's stock price. The 830MW approved power would get you about 50% upside. More sites, more approvals, more growth...that can get you to the real blue sky cases. We use fair assumptions/discounts and hack away. Some folks complain we are too conservative, which reminds us of when we pitched TLN upon its relisting at $42 and said it was worth $80-100. It later went to $400 because, like, things changed and they executed. So yeah, if that happens and Galaxy goes to $100, god bless, we won't be crying about our too-low targets.

SOTP Analysis

Presentation last modified: May 7

Increasingly attractive upside based on MW deployed



Helios Scenarios	800 MW	1,630 MW	2,430 MW	3,430 MW
Description	Contracted with CRWV	CRWV + 830MW approved	+ 800MW future approval	+ 1.8GW future approval
Helios DCF Value ($bn)	6.9	12.3	17.4	23.0
Total SOTP Value ($bn)	11.6	17.9	24.0	30.6
Run-rate Timing (est.)	2028	2029	2030	2031
Discount Rate	8.5%	8.5% (CRWV), 7.0% (hyper.)	8.5% (CRWV), 7.0% (hyper.)	8.5% (CRWV), 7.0% (hyper.)
Helios Stabilized LTV	60%	60%	60%	60%
FDSO (mm sh.)	407	407	407	407
Upside	**(3%)**	**50%**	**101%**	**156%**

SOTP

Math and assumptions

SOTP: Helios Energization Sensitivity

Consolidated SOTP Math	$mm				Per Share			
SOTP	800MW	1.63GW	2.43GW	3.43GW	800MW	1.63GW	2.43GW	3.43GW
CRWV - Phase I	2,089	2,089	2,089	2,089	$5.1	$5.1	$5.1	$5.1
CRWV - Phase II	3,216	3,216	3,216	3,216	$7.9	$7.9	$7.9	$7.9
CRWV - Phase III	1,615	1,615	1,615	1,615	$4.0	$4.0	$4.0	$4.0
Total CRWV Contracted NPV	6,921	6,921	6,921	6,921	$17.0	$17.0	$17.0	$17.0
830MW Approved	-	5,349	5,349	5,349	$0.0	$13.1	$13.1	$13.1
Total Approved NPV	6,921	12,269	12,269	12,269	$17.0	$30.1	$30.1	$30.1
800MW Under Study	-	-	5,171	5,171	$0.0	$0.0	$12.7	$12.7
1GW Under Study	-	-	-	5,524	$0.0	$0.0	$0.0	$13.6
Total Helios NPV	6,921	12,269	17,440	22,964	$17.0	$30.1	$42.8	$56.4
Datacenter Platform Value	865	1,882	2,871	4,017	$2.1	$4.6	$7.1	$9.9
Digital Assets Segment	2,500	2,500	2,500	2,500	$6.1	$6.1	$6.1	$6.1
Owned B/S Crypto	751	751	751	751	$1.8	$1.8	$1.8	$1.8
Cash & Stablecoins	2,605	2,605	2,605	2,605	$6.4	$6.4	$6.4	$6.4
Crypto Investments	695	695	695	695	$1.7	$1.7	$1.7	$1.7
Corporate Debt	(1,745)	(1,745)	(1,745)	(1,745)	($4.3)	($4.3)	($4.3)	($4.3)
Legal Settlement Payable	(160)	(160)	(160)	(160)	($0.4)	($0.4)	($0.4)	($0.4)
Capitalized Corporate	(800)	(880)	(960)	(1,040)	($2.0)	($2.2)	($2.4)	($2.6)
Total SOTP Value Per Share	11,632	17,918	23,997	30,587	$28.6	$44.0	$58.9	$75.1
FDSO	407	407	407	407				
SOTP Implied Share Price	$28.6	$44.0	$58.9	$75.1				
Current GLXY Share Price	$29.3	$29.3	$29.3	$29.3				
% upside	*(2.5%)*	*50.2%*	*101.2%*	*156.4%*				

Key Assumptions

- Discount rates:
  - 8.5% for 800MW with CRWV
  - 7.0% for hyperscaler contracts
- Stabilized Debt Financing Rate: 7.5%
- Stabilized Debt Refi LTV: 60%
- Capex: $13.5mm per critical IT MW
- Inflation escalator: 2.5%
- Ex. Helios DC Platform: 100 – 600 MW
- Digital assets segment: 10x * $250mm

Modeling Note

There is a worthwhile note -- something we didn't appreciate until we got pretty deep into the work. When a project begins, financing is procured on a conservative loan-to-cost basis. When it eventually delivers a finished product, the project converts into a fully stabilized, cash flowing animal. That "stabilized cash flow" machine is now underwritable on a loan-to-appraised value basis. If you got, say, $1BN financing initially, once delivered, you might be able to get $1.5BN on the refi. The extra $500MM would be capital available for recycling, which funds the next growth phase. Critically, this avoids the need for super dilutive ongoing equity funding.

Risks

1) Execution: Delays. Costs. Explosions. Safety. It is a big project and things can go wrong. We think the GC is good and everything looks fine, so far. But certainly a risk.

2) CRWV: controversial company, but three mitigants. One, still a huge market cap. Two, the end customer was publicly declared, by Galaxy on an earnings call, to be a "multi-trillion" hyperscaler. We suspect Microsoft or Meta. In any case, if and when the project is completed and working, we think the end customer would be highly motivated to take it over, should anything happen to CRWV. We think the cash flows will show up. And three, the second customer announcement (on the 830 MW) will almost certainly NOT be CRWV, providing customer diversification. Still, this is a counterparty risk that bubbles up in discussions from time to time.

3) Crypto: if it takes from here, GLXY stock will move lower. Eventually, though, the data center reality should counterbalance or outweigh this factor. Nonetheless, gotta be prepared for this.

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Catalyst

1. Russell Index Add: announcement on or around May 22
2. 830MW Customer Announcement: by year-end
3. More Data Center Sites: any time
4. Phase 1 Delivered to CRWV: by June 30

Messages

Subject shareholder value focus / promote?
Entry 05/20/2026 04:23 PM
Member Ray Palmer

I really like this pitch.... but it's hard for me to think they're really focused on shareholder value when they just filed an ATM and have historically been pretty comfy diluting shareholders while sitting on >$500m of liquid crypto (plus their VC funds). It kind of feels like they'll dilute you to the moon, and you relaly need to bet on crypto working for this to work.

Subject Re: shareholder value focus / promote?
Entry 05/20/2026 07:44 PM
Member TooCheapToIgnore

Nah. We spoke to them about the shelf and ATM immediately on the filing. Time will tell, but they claim it coincided with one year listed and becoming a WKSI and doing their basic homework. I walked through math with them in their office, in person, the day after the ATM; with 90-100 implied vol they can do a convert up 35-40 with no coupon and a capped call to make it up 100…why do an equity deal with that vol? A) makes no sense and B) they understand the math. I'm confident they don't plant to dilute us stupidly and I told them all that I, and others, will watch this carefully. They, and Novo specifically, have this message loud and clear.

Subject Re: shareholder value focus / promote?
Entry 05/21/2026 12:47 PM
Member TooCheapToIgnore

Also, one other note to make: Novo owns, like, half the company (B shares) and is very much financially aligned. If you just hit HDS you might miss that. FWIW.

Subject Flow of funds
Entry 05/22/2026 08:25 AM
Member virtualodin

Sorry if everyone here knows this already but could you explain to me the basics of how these contracts typically work

It sounds like -

1) GLXY owns a bunch of land and has the right to access 1.63 GW of power, as and when it wants to

2) GLXY leases the land and the right to that power to CRWV for 15 years

3) CRWV then builds a shell, fills it with GPUs, pays the utility/grid for power, and then leases those GPUs

So whatever CRWV pays GLXY is 100% margin as they have no ongoing costs at the site from that point on and CRWV is going to be paying the "spot price" for power from the grid so they're the party in this equation who is taking 100% of the risks around power prices spiking?

Do I have it right?

If so, CRWV is paying for 2 things - the land and the access to power - is it possible to say how the value splits between the two - if you had an identical parcel of land next door but with no approved power, how much less would that be worth? 25% less? 90% less?

Thank!

Subject Re: Flow of funds
Entry 05/22/2026 12:57 PM
Member TooCheapToIgnore

Not quite.

CRWV doesn't built the hall. They don't build the structures, site prep, plumbing, electrical wiring, air conditioning, backup generators, chillers, water ponds, substations, transformers, etc. All that is GLXY. Next door would be a pile of dirt. It's very complex stuff. GLXY works with a GC who then has tons of sub contractors. It is labor and capital intensive and entirely managed by Galaxy.

When everything is tested and connected, the hall is delivered to CRWV and GLXY begins to collect what is effectively rent. The rate is negotiated up front.

for now, yes, CRWV pays power

Subject Index add (Russell)
Entry 05/22/2026 06:58 PM
Member TooCheapToIgnore

right on schedule. FWIW

https://www.lseg.com/content/dam/ftse-russell/en_us/documents/other/ru3000-additions-20260522.pdf

Subject Re: Re: Flow of funds
Entry 06/03/2026 08:05 AM
Member bafana901

You state that capex is $13mil per MW. AI tells me that that is for a standard facility. Capex is closer to $20mil per MW for an AI optimized facility. Can you please clarify what type of facility GLXY is building?

If I understand your calculations a 800mw facility will cost $10.4bil to build and generate $900mil (90% flow through) ebitda implying a 8.6% yield. Yield is only 5.6% assuming $20mil/mw capex. Is this correct?

Who pays for the maintenance of the DC? What is your estimate for depreciation and how does that compare with maintenance cash flows? How much of the Datacenter cash flow will be eaten by head office?

Do you assume that new developments are funded using 100% debt?

Thanks

(PS While I believe that BTC was designed by super intelligent people who were seeking an alternative to FIAT currencies exposure to crypto is very noisy. Would you consider shorting out some of the exposure with a crypto short eg MSTR/BTC?)